#6 · 5.1% of marks

Ind AS 109 — Financial Instruments

Classify (business model + SPPI) → measure → impair (ECL) → derecognise → hedge.

1 Financial assets — classification 4.1

Business model	SPPI?	Category
Hold to collect	Yes	**Amortised cost**
Hold to collect & sell	Yes	**FVOCI (debt) — recycled**
Other (trading, FV-managed)	—	**FVTPL**
Any	**No** (e.g., equity, convertible, leveraged)	**FVTPL**

- → **Equity** not held for trading (and not BC contingent consideration) → **irrevocable FVOCI election** at initial recognition; **never recycled**; dividends → P&L 5.7.5
- → **Fair value option** → designate FVTPL if it eliminates an **accounting mismatch** (irrevocable)
- → Sales under HTC are fine if **infrequent / insignificant** or due to **credit deterioration**

⚠ TRAP

Reclassification of financial assets only when the **business model changes** (rare, significant, demonstrable) → **prospective** from the **first day of the next reporting period**. **Never** for FVOCI equity, FVO designations, or **financial liabilities**.

2 Financial liabilities 4.2

- → Default: **amortised cost** (EIR). FVTPL if held for trading, derivatives, or designated
- → Designated FVTPL → change from **own credit risk** → **OCI** (never recycled), rest P&L — unless OCI creates a mismatch 5.7.7
- → **Financial guarantee** (issuer) → initially FV; later **higher of** ECL allowance and initial amount less cumulative income

3 Initial measurement 5.1

- → **FV + transaction costs** (except FVTPL → costs to P&L). Trade receivables without significant financing → **transaction price**
- → **Day-1 difference** (FV ≠ price): recognise in P&L only if FV is Level 1 or uses only observable inputs; else **defer** B5.1.2A
- → Interest-free **loan to employee / sub** → FV (PV at market rate); difference = employee benefit / **investment in sub** (parent SFS)

NUMERICAL

4 Expected credit loss — general (3-stage) approach 5.5

Stage	Trigger	Allowance	Interest on
1	No significant increase in credit risk (SICR)	**12-month** ECL	Gross carrying amount
2	**SICR** since initial recognition	**Lifetime** ECL	Gross carrying amount
3	**Credit-impaired**	**Lifetime** ECL	**Net (amortised cost)**

- → Rebuttable presumptions: **> 30 days past due** = SICR; **> 90 days** = default
- → **Simplified approach** (always lifetime ECL; provision matrix) — **mandatory** for trade receivables / contract assets **without** significant financing; policy choice for those with financing and lease receivables
- → **POCI** (purchased / originated credit-impaired) → credit-adjusted EIR; recognise only **changes** in lifetime ECL
- → **FVOCI debt** → ECL allowance in **OCI**, not reducing carrying amount (which stays at FV)
- → ECL = probability-weighted, time value, reasonable & supportable info incl. **forward-looking**

5 Modification & derecognition of liabilities 3.3

- → Liability derecognised when **extinguished** (discharged, cancelled, expired)
- → **10% test**: PV of new cash flows (incl. fees, discounted at **original EIR**) differs by **≥ 10%** from PV of remaining old cash flows → **substantial** → extinguish old, recognise new at FV; difference → P&L
- → Not substantial → adjust carrying amount; costs amortised over remaining term
- → Asset modification not causing derecognition → recalculate gross carrying amount at **original EIR**; gain / loss → P&L 5.4.3

ECL stages move **both ways** — improvement takes Stage 2 back to Stage 1 (12-month ECL).

6 Derecognition of financial assets — decision tree 3.2

1. **Consolidate** subsidiaries / SPVs first
2. Rights to cash flows **expired**? → derecognise
3. Rights **transferred**, or **pass-through** met (no obligation unless collected; can't sell / pledge; remit without material delay)? If neither → keep
4. **Substantially all risks & rewards** transferred → **derecognise**; **retained** → **keep** (proceeds = collateralised borrowing)
5. Neither transferred nor retained → **control** retained? No → derecognise; Yes → **continuing involvement**

Example	Result
Factoring **without recourse**	**Derecognise**
Factoring **with full recourse** / guarantee of all losses	**Keep + liability**
Sale + repurchase at fixed price + lender's return (repo)	**Keep — financing**
Sale + call option deeply out of the money	**Derecognise**

7 Derivatives & embedded derivatives

- → Derivative: value changes with an **underlying**, **little / no initial investment**, **settled in future** → **FVTPL**
- → Hybrid with a **financial-asset host** in Ind AS 109 → **no separation**; classify whole (usually fails SPPI → FVTPL)
- → Other hosts (liability, non-financial) → separate if **not closely related**, would meet derivative definition, hybrid not at FVTPL
- → Own-use contracts for non-financial items (normal purchase / sale) → outside 109 unless net settled

8 Hedge accounting Ch 6

Type	Accounting
Fair value	Hedging instrument & hedged item (for hedged risk) → **P&L**; hedged item carrying amount adjusted
Cash flow	Effective portion → **OCI (CFH reserve)**; ineffective → P&L. Recycle when hedged item affects P&L; **basis adjustment** for non-financial items
Net investment	Like CFH; recycled on disposal of foreign operation

Qualifying: designation & documentation at inception; **economic relationship**; credit risk doesn't dominate; **hedge ratio** consistent. **No voluntary de-designation** while risk management objective is unchanged; rebalance instead.

⑨ Where gains / losses go — one table

Instrument	FV change	On sale
Amortised cost	—	Gain / loss → P&L
FVOCI **debt**	OCI (interest, ECL, FX → P&L)	**Recycled to P&L**
FVOCI **equity**	OCI (dividend → P&L)	**Not recycled (may move to RE)**
FVTPL	P&L	P&L
Designated FVTPL **liability**	Own credit → OCI; rest → P&L	OCI part never recycled

⑩ Cross-standard links

- → **Ind AS 32** — classification as liability / equity first; Ind AS 109 then measures the liability
- → **Ind AS 107** — credit, liquidity, market risk disclosures; ECL reconciliations
- → **Ind AS 113** — FV hierarchy (Level 1 / 2 / 3) for day-1 gains
- → **Ind AS 115** — receivables & contract assets → simplified ECL
- → **Ind AS 20** — below-market government loan: benefit = proceeds − Ind AS 109 FV → grant
- → **Ind AS 27** — investments in subs in SFS may be at Ind AS 109 FV
- → **Ind AS 1** — OCI buckets: FVOCI debt / CFH recycle; FVOCI equity / own credit don't

⑪ AAA bridge

Area	Requirement
SA 540	ECL models, SICR, forward-looking data, Level 3 FV — high estimation uncertainty
SA 620 / 500	Valuation / model experts
SA 505	Confirm balances, derivatives with banks / counterparties
CARO 3(iii)	Loans, advances, guarantees, security to others — terms prejudicial? repayment regular? overdue > 90 days?
CARO 3(ix)	Default in repayment of loans / borrowings; wilful defaulter; term loans used for purpose

> ✍ **Write in exam**
> "As per para 5.5.15 of Ind AS 109, the entity shall always measure the loss allowance at an amount equal to lifetime expected credit losses for trade receivables that do not contain a significant financing component (simplified approach)."